



Take the example of Reliance Industries Limited (RIL) when the company discovered a gas vein. The stock jumped as investors cashed in on this news. But let us analyse the situation without falling prey to mental heuristics. The gas source was discovered but there were other factors to be considered—the quality of the gas, the number of wells to be drilled, the time it would take, the plans to finance the project, etc.—before the profits could be reaped. Yet analysts predicted the future profitability of RIL and on such hopes investors bought the stock at rising prices. This is how mental heuristics work when the brain does not process all the information and its implications. The tech boom was built on the same logic and we know the damage it has done.

Evolutionary forces shaped human cognition over centuries. That served our ancestors well, allowing for quick quality decisions. Today, the complexities of our lives throw up multifarious data that our minds may not assimilate very easily. The heuristics we rely on carry associated biases, which undermine the quality of our decisions. Let's take a look at some heuristics and their biases.



Availability Heuristic

One bias associated with availability is ease of recall. We are more likely to make judgements based on recent or easy to remember events rather than other similar but harder to recall instances. The flow of information around us is what guides us. If all of it is positive we are positively inclined. This is what happened in the India Shining story of 2003–4. All available information—press, television, bureaucracy, business and political circles—centred on the positive aspects of the Indian economy. No negatives were permitted. Shored by so much optimism the herd mentality came into play and everyone not only believed the story, they advocated it. This was reflected in the stock markets. The Sensex jumped from 2800 in April 2003 to over 6000 in April 2004. The NDA and its allies were sure they would win the elections as the India Shining story painted a rosy picture of their governance. Come May 2004 and the election results announced that the NDA government had lost. How did this happen? The